

HEADLINE JUDGMENT

Score **HOLDS** at 27/30 for a twelfth consecutive edition. No channel moved. The week's event is that the diplomatic track produced its first written instrument since the Islamabad Memorandum while the physical strait recorded its thinnest traffic since early May — and the oil price traded the paper, not the water. **One.** On 25 August Iran and Oman ISSUED a joint statement in Tehran naming a temporary joint maritime corridor, a joint mine-clearance project and a track to a permanent corridor. **It is not a reopening, and Tehran said so the same day.** Araghchi conditions reopening on Washington honouring a memorandum that **LAPSED on 17 August**, and Busaidi cites that dead document's Article 5 as the corridor's legal basis. **That circularity is why the escalation channel does not move: an announcement is not an event (\$9.11), and US-Iran talks have not resumed and none are scheduled.** **Two, and the only channel with headroom: the oil rally has mostly gone.** Brent closed **\$87.27** after two consecutive down-closes from \$92.67, and printed **\$85.31** intraday. **The edition-over-edition upgrade gap widened from \$3.03 to \$7.73 on the scored CO2 series and from \$1.22 to \$6.42 on the active** — the first widening after four narrowings, on a headline rather than a barrel. **Three — the dissonance this edition is built on.** In the same 48 hours UKMTO's annex recorded **one** cargo vessel and **zero** tankers on 24 August, **Kpler two commodity vessels — its thinnest day since early May against a 10-day average of 14** — and **Windward four transits, ALL INBOUND**, with nothing outbound at all. **A market pricing a reopening into a waterway that has just stopped letting ships out has not verified anything.** **Four. Stage-4 Threshold B LAPSED on the 25 August close, on BOTH legs at once**, short of 5.20% and 4.65% by 3.49 and 2.12 bp. The fifth arming lasted three closes: the **sixth lapse, eleventh state and tenth change since 29 July.** **Five, and this is the edition's most consequential finding.** \$9.15 has held since 6 August that the two Treasury downgrade legs rotate rather than converge. **On 25 August they converged** — **MOVE** fell to **71.92**, a **sixth consecutive close below 75**, while the 30-year gap narrowed to **16.51 bp**, the narrowest since 28 July. It still fails and hysteresis requires sustained, so the channel holds at 5 — **but this is the live downgrade candidate of the document.** **Six.** Washington escalated on 24 August — **~60 designations and five NEW E.O. 13902 sector determinations** — and withheld the heaviest instrument: **no Chinese refinery, port or bank.** Within 24 hours Saudi Arabia, Qatar and Gargash all pushed the other way. **The coalition is not following the rhetoric.** **Seven. Diesel decoupled from gasoline:** AAA diesel reached **\$5.6199**, a new war high, 19.60 cents from its record, while **all-grades gasoline — the series the political channel is actually scored on — did not move at all and AAA regular FELL.** **The routing shock is arriving in freight fuel, not at the pump. Sequencing 27 → 27 → 27.**

1 · LIVE TAPE

Scoring reference is the 25 August close (Tue); the 26 August row is a Singapore-AM snapshot and moves no channel (\$4a). No edition was issued for 24 or 25 August, so the 21, 24 and 25 August closes are all published here in full (\$9.20). Full commentary is in ANNEX A1.

1.1 · Energy

Series	21 Aug	24 Aug	25 Aug close	26 Aug intr.	Trigger note
Brent CO2 (scored)	92.67	90.54	87.27	85.31	\$7.73 from the \$95 upgrade; \$9.69 intraday. WIDENED from \$3.03 after four narrowings
Brent COA (active)	94.39	92.17	88.58	86.33	\$6.42 from \$95, from \$1.22. Quote both bases (\$9.36)
WTI CL2 / CLA	85.16 / 87.06	83.30 / 85.01	80.88 / 82.36	79.14 / 80.51	21 Aug roll behind; d/d comparable from 21 Aug forward only
Henry Hub NGA	2.773	2.782	2.770	2.811	9.57% BELOW its \$3.063 pre-war anchor
TTF TZTA	65.865	68.320	66.588	63.690	WAR-RECORD CLOSE 24 Aug, third in three sessions. +113.2% vs pre-war
Asia LNG JGLA	3,628	3,680	3,793	no print	NEW WAR HIGH — the THIRD consecutive record close; the first above the 23 Jul peak was 21 Aug. +127.3% vs pre-war

The cleanest single fact here: TTF and Asian LNG both set war-record closes this week — €68.320 and ¥3,793 — against US Henry Hub 9.57% BELOW pre-war. A global energy shock does not leave the largest producer's domestic benchmark below where it started. A routing dislocation, priced outside the US.

1.2 · US Treasuries and inflation expectations

Basis points. Every YIELD leg rose modestly on the 26 Aug snapshot while 2s10s flattened further.

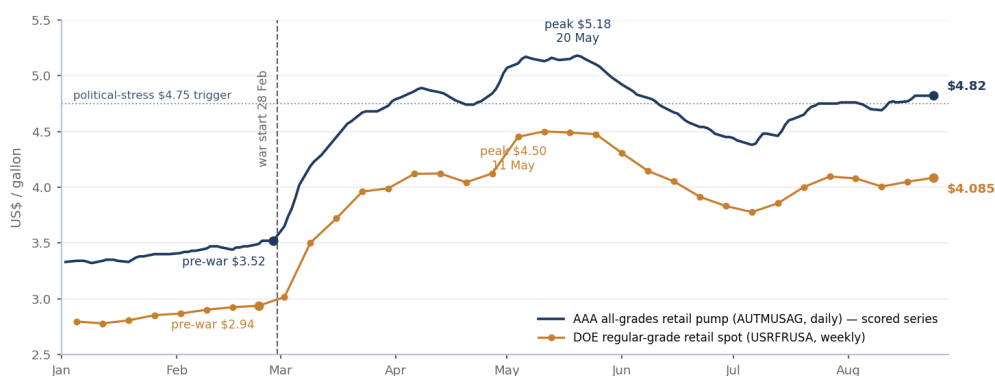
Tenor	21 Aug	24 Aug	25 Aug close	26 Aug intr.	d/d 25v24, bp	Trigger note
2-year / 5-year	4.2359 / 4.4242	4.2316 / 4.4011	4.1741 / 4.3353	4.1888 / 4.3441	-5.75 / -6.58	No trigger on either tenor
10-year	4.7339	4.6961	4.6288	4.6367	-6.73	Fails Threshold B's 4.65% leg by 2.12 bp
30-year	5.2709	5.2245	5.1651	5.1734	-5.94	Downgrade leg fails by 16.51 bp, narrowest since 28 Jul; fails B's 5.20% by 3.49
2s10s (USYC2Y10)	49.379	45.817	45.257	44.585	-0.56	Separate series; will not equal the generics. Flattest close since 7 Aug
10y BE / 5y5y fwd	2.3328 / 2.3168	2.3299 / 2.3076	2.3135 / 2.2991	2.3161 / 2.3051	-1.64 / -0.85	BE10 5.66 bp above its 2.2569 anchor, from 9.56 on 20 Aug. 5y5y closed BELOW the 2.30% that FIRED the upgrade — 15.71 bp above the 2.142% downgrade anchor (\$9.26)

1.3 · Cross-asset

Series	21 Aug	25 Aug close	vs pre-war	Note
MOVE	73.40	71.92	-1.46 vs 73.38	SIXTH consecutive close below 75 (18–25 Aug); longest run since 10 Jun–10 Jul
VIX / DXY / SOFR	15.13 / 98.800 / 3.65	15.45 / 98.915 / n.p.	-4.41 / +1.31 / -3 bp	The 19 Aug three-month dollar low is not revisited. The 24 Aug SOFR print (3.65, not shown) is identical to 4dp to 21 Aug → UNRESOLVED (\$9.35)
Gasoline AAA all-grades (AUTMUSAG) — scored	4.82	4.82 (24 Aug)	+1.30 vs 3.52	\$4.82 on FOUR consecutive dates; 24 Aug identical to 4dp → UNRESOLVED. 22c above the \$4.60 condition
Gasoline DOE regular (USFRUSA)	no print	4.085 (24 Aug)	+1.15 vs ~2.94	Fresh weekly print, +3.6c w/w

DENOMINATOR DISCIPLINE (\$9.19) — THREE distinct series, never compared: AUTMUSAG (AAA all-grades) is the scored one at \$4.82; USFRUSA (DOE regular, weekly) is corroboration at \$4.085; AAA's published regular headline is a third at \$4.0969. A1.5.

1.4 · US retail gasoline — both series



AAA all-grades (AUTMUSAG, navy, scored) and DOE regular retail (USFRUSA, amber, weekly, corroboration only); dotted line is the \$4.75 threshold. The scored series has been pinned on \$4.82 since 19 August and is not moving toward its \$4.60 downgrade condition; DOE printed \$4.085 on 24 August, +3.6c, and has no threshold of its own.

1.5 · Strait operational — summary

Strand	State on 26 August	Source
UKMTO / incidents	Update 089 (ICOD 251500 UTC) moves the count 94 → 96. Hormuz SEVERE, unchanged; still 'an established post-MoU status quo'. Gulf of Oman CUT SUBSTANTIAL → MODERATE — the first threat-level cut recorded here, and a RECLASSIFICATION of the Musandam strikes into the Hormuz bucket. Mine danger areas remain ACTIVE in and beside the TSS. Warnings 119-26 (Yanbu, Houthi claim, not a Hormuz event) and 120-26 (tanker DISABLED, Omani waters), both 24 Aug	UKMTO 089 and Warning 120-26, read directly
Transits + blockade	FIVE counts for 24 Aug, five vessel universes, never to be spliced: UKMTO annex 1 cargo / 0 tankers; Kpler 2 commodity vessels, lowest since early May vs its own 10-day average of 14; Windward 4, ALL INBOUND, ZERO OUTBOUND; TankerMap 1; UKMTO NCAGS-FACILITATED 36 over 23–24 Aug — a facilitated subset, an order of magnitude out. Blockade 71 redirected / 3 disabled / 2 boarded as of 24 Aug, from 65	UKMTO 089 annex; Reuters (Kpler); Windward; TankerMap
CENTCOM / kinetic	No CENTCOM release 22–26 Aug — a confirmed negative against the live index, not a retrieval failure. Last combat release inside Iran still 29 July: a 28-DAY GAP. No US or Israeli strike inside Iran and no Iranian launch in the window. (!) Silence is not inactivity — tallies post near-daily on X. Carrier relief COMPLETE; the George Washington CSG has NOT entered the Gulf of Oman or the Gulf	centcom.mil index; USNI News 22 and 24 Aug
Diplomacy	Iran–Oman JOINT STATEMENT, Tehran, 25 Aug — phased framework, temporary joint corridor, joint mine-clearance, track to a permanent corridor. NOT a declaration and NOT a reopening; Busaidi says a corridor comes 'soon'. Trump declared the Strait MINE-FREE, 25 Aug — which UKMTO 089 contradicts. US–Iran talks NOT resumed, none scheduled	fm.gov.om/en/53722; Al Jazeera, Bloomberg, CNBC, Axios 25 Aug

2 · US ECONOMIC SHOCK — ANALYSIS WITH BOND YIELDS

2.1 · Bond-yield transmission, channel by channel

MARITIME DENIAL — 5/5, at the cap. (i) The downgrade needs a verified reopening plus traffic above 25% of normal for ten sessions. **Neither leg is close, and the traffic leg moved AWAY this week.** On 24 August the UKMTO annex recorded one cargo vessel and no tankers; Kpler counted two commodity ships, its thinnest day since early May; Windward recorded four transits and **not one outbound**, which it reads as active enforcement against southbound traffic at the blockade line. (ii) **Name the denominator every time (\$9.19), and note that one has now changed under us.** UKMTO and Windward both use roughly 138–140 vessels a day; Kpler uses a ~15 mb/d volume basis; IMF PortWatch's own JSON now returns a pre-crisis median of 85/day against the 73/day its front page has been publishing — the same series, two different numbers, and this document will not quote a PortWatch percentage without saying which divisor produced it. (iii) The Gulf of Oman threat-level cut is the first reduction this monitor has recorded and it is **not** evidence of de-escalation: UKMTO's own stated reasoning is that the strikes have been reclassified into the Hormuz bucket, and the Hormuz level is unchanged at SEVERE. **A vessel disabled by a projectile in Omani waters on 24 August, roughly twenty-four hours before the Strait was declared mine-free, is the more informative datum.**

OIL PRICE SHOCK — 2/5, HELD, and the gap has widened for the first time in six readings. (i) The sequence of edition-over-edition distances to the \$95 upgrade now reads **9.78, 8.43, 5.55, 5.21, 3.03, 7.73** on the scored CO2 series — **six readings, four narrowings, then one widening.** On the active contract it is \$1.22 to \$6.42. **On the intervening closes this edition publishes in full, the gap narrowed further to \$2.33 on 21 August before widening to \$4.46 on 24 August and \$7.73 on 25 August — so the true low was \$2.33 and the widening began on 24 August, not 25.** Brent has closed down two sessions running from \$92.67 to **\$87.27** and printed \$85.31 intraday on 26 August, its lowest since 13 August. (ii) **The cause is a headline, not a barrel.** The daily wraps attribute the fall to the Iran–Oman corridor talks being priced as de-escalation. **Set that against the physical data in the same window — the thinnest transit day since early May, no outbound traffic at all, and Kpler's own measure of China's Iranian crude imports at 534 kb/d month-to-date against ~823 in July and a 1.4 mb/d 2025 average — and the market is trading an announcement that Araghchi, its Iranian principal, said the same day does not open the strait.** (iii) **The roll disclosure stands and the basis check clears.** The CO2/COA basis has compressed smoothly from 1.81 to 1.02 across the window with no sign change and no step, so there is no Brent roll in this data; the WTI roll of 21 August is behind us and CL2/CLA now move together. **The July roll artifact is unchanged as an open methodological item: the scored continuation closed above \$95 twice in late July on days the active contract never cleared it, so never write that Brent has not closed above \$95 since the channel was cut (\$9.36).** The downgrade needs a mediated pause AND a close at or below \$72.48; the price leg is \$14.79 away and moved further away this week even as the mediation leg moved closer. **Both legs of the oil downgrade have now decoupled from each other, which is the first time this document has had to say that.**

US INFLATION IMPULSE — 5/5, at the cap, and the firing trigger broke for a second time. (i) **Lead with the adverse fact (\$9.26).** The 5y5y forward closed **2.2991% on 25 August, BELOW the 2.30% level whose sustained break fired this channel from 4 to 5 on 31 July.** It is the second such close in the current regime, after 2.2900% on 13 August. **It has NOT been confirmed by a second close;** the 26 August intraday reads 2.3051%, back above the line, but a snapshot settles nothing (\$4a), and 13 August was likewise retraced on the 14 August close. (ii) **The documented downgrade is a sustained close at or below the 2.142% pre-war anchor, 15.71 bp lower, so the score holds at 5 — and the rule is NOT being moved to meet the trigger.** That gap between the firing level and the downgrade level is uncomfortable and it is published rather than closed; converting it into a symmetric trigger would destroy the property that has stopped five bad calls since late July. The 15.71 bp is nonetheless the narrowest reading since 14.80 on 13 August. (iii) **The corroborating series agrees.** Ten-year breakeven compensation closed **2.3135%, just 5.66 bp above its 2.2569% pre-war anchor**, having been 9.56 bp above it on 20 August when it reached its highest since 8 June. **Inflation compensation has given back more than a third of its distance from pre-war in three sessions, on a week in which diesel set a war high.** That is a market pricing the shock as a relative-price event rather than a price-level regime — the reading this channel has resisted since it fired to 5 on 31 July, and it is now the closest it has come to being right.

TREASURY STRESS — 5/5, HELD — and for the first time the two downgrade legs CONVERGED. (i) \$9.15 has held since 6 August that this two-leg downgrade rotates rather than approaches: one leg satisfied while the other widens. **On 25 August both moved toward the downgrade in the same session.** Be exact about 24 August: MOVE ROSE 73.40 to 73.98 while the yield gap narrowed, so that day is still rotation. **On 25 August MOVE fell to 71.92 AND the 30-year gap narrowed to 16.51 bp**, completing the run **27.09 → 22.45 → 16.51** with the volatility leg satisfied throughout. (ii) **The volatility leg is now a regime, not a session.** MOVE has closed below 75 on **six consecutive sessions, 18 through 25 August.** Bound that claim properly (\$9.32): the war has seen longer runs — twenty-one sessions from 10 June and seventeen from 9 April — so this is **the longest run since 10 June–10 July**, and it is double the best the current regime had managed (three closes, 12–14 August). **\$9.18's warning that a single sub-threshold close is a session and not a regime has been the right call four times; on the sixth consecutive close it stops applying, and this document says so.** (iii) **The yield leg still fails, and that is what holds the score.** 16.51 bp is the narrowest since 28 July but the rule requires a close below 5.00% **sustained**, and the 26 August intraday has already widened it back to 17.34 bp. **The honest statement is that this is the live downgrade candidate of the document and that its yield leg is closer than at any close since 28 July — and that a 16.51 bp gap is comfortably inside a single session's range in either direction.**

POLITICAL STRESS — 5/5, at the cap, and the interesting movement is in a series this channel does not score. (i) The scored AUTMUSAG all-grades series reads **\$4.82**, its fourth consecutive identical print, **22 cents above the named \$4.60 downgrade condition and seven cents above the \$4.75 trigger that fired the upgrade.** Under \$9.35 the 24 August value is identical to four decimal places to 21 August and is therefore reported UNRESOLVED with no day-on-day asserted. (ii) **The direct reads say the pump is flat to slightly lower.** AAA regular moved \$4.1044 (20 Aug) to \$4.0991 (24 Aug) to **\$4.0969 (25 Aug) — below where it stood at the last edition and below its month-ago level — while the EIA weekly regular survey printed \$4.085 for the 24 August week, +3.6 cents.** (iii) **Diesel is where the shock actually is, and it has decoupled.** AAA diesel reached **\$5.6199 on 25 August, a new war high, 19.60 cents from the all-time record of \$5.8159, +15.22 cents in seven days and +34.21 in a month;** the EIA weekly on-highway series printed **\$5.652, up 19.8 cents after 19.7 the week before — two consecutive weeks of NEARLY twenty cents**, with California at \$7.040 and the Gulf Coast up 24.4 cents. **Two consecutive weekly rises of nearly twenty cents in the freight fuel while the consumer fuel drifts lower is the signature of a routing and refining dislocation rather than a crude-price pass-through — and it is invisible to the series this channel is scored on.** The score is right; the scored series is telling you less than the one beside it.

ESCALATION RISK — 5/5, at the cap, and this is the closest the war has come to a downgrade case. (i) The case FOR moving is real and should be stated at full strength. Iran and Oman ISSUED a joint statement naming a temporary corridor and joint demining; Pakistan's army chief carried a reopening agenda into Tehran on 24 August; Saudi Arabia, Qatar and the UAE all pushed publicly toward de-escalation within 24 hours of Washington escalating; there has been **no US or Israeli strike inside Iran and no Iranian launch across the whole window**, and CENTCOM's combat silence has reached **28 days**. Hegseth on 24 August: 'Economic pressure is what we know hurts them the most.' **(ii) It is held anyway, and \$9.11 is the reason.** An announcement is not an event. On 2 August this monitor declined an escalation downgrade on a cancelled strike package and announced talks, and was right within days. **The identical structure is present now: talks have not convened, none are scheduled, and Araghchi, its Iranian principal, said the same day that it does not open the strait.** **(iii) And the counter-evidence inside the window is not thin.** Two vessels were struck on 24 August — **one DISABLED in Omani waters, and one off Yanbu in the Red Sea under a Houthi claim, which is NOT a Hormuz event and is named as such so the pair is not read as two Hormuz attacks.** A parliamentary commission approved a Hormuz transit-fee article — Tier 3 sourcing, and **not enacted legislation** — and Iran blacklisted **46 ships per gCaptain or 45 tankers per Reuters: two counts on different units, reported and not reconciled.** SNSC Secretary Rezaei raised nuclear-weapons acquisition on state television on 23 August and on 24 August named Saudi and Emirati bypass pipelines as within the target set — **Tier 2 reporting of Tier 3 source material, single-stream, with no Tier 1 wire pickup located, and flagged as such rather than used to move a probability.** The mediated-pause scenario moves in section 5; the channel does not.

2.2 · Stage-4 thresholds

A — NOT ARMED, and UNTESTABLE AS WRITTEN (\$9.39), not merely unverified. A is a failed-auction test — an auction clearing with a tail above its when-issued level — and **Treasury publishes no when-issued level at all**, so no primary source can ever confirm a tail. The clearing statistics are reachable every time and are the substitute. **The 25 August 2-year (CUSIP 91282CRH6, \$69bn) cleared at a high yield of 4.2040% with bid-to-cover 2.60** computed ex-SOMA on Treasury's own convention, and 85.68% allotted at the high. **Name the denominator (\$9.40): primary dealers took 10.90% on competitive-accepted and 10.76% on total-award-ex-SOMA; indirects 66.01% and 65.16%; directs 23.09% and 22.79%.** The composition is the signal, and it is now a run: **three consecutive coupon auctions have cleared with a dealer backstop in single or low double digits — 12.34% on the 20-year, 2.09% on the 30-year TIPS, 10.90% here.** The \$70bn 5-year and \$28bn 2-year FRN were auctioned on 26 August after the Singapore cut and their results are **NOT OBTAINED**; the \$44bn 7-year falls on 27 August. Source: api.fiscaldata.treasury.gov/auctions_query, read directly.

B — LAPSED on the 25 August close, and both legs failed in the same session. The test is a 30-year above 5.20% with a 10-year above 4.65%. On 25 August the 30-year closed **5.1651%, short by 3.49 bp**, and the 10-year **4.6288%, short by 2.12 bp**. The fifth arming ran three closes — 20, 21 and 24 August — which is consistent with the pattern that **eight of the previous nine states lasted three closes or fewer and four lasted exactly one. This is the sixth lapse, the eleventh state and the tenth change since 29 July.** It remains lapsed on the 26 August intraday, where the 30-year is 2.66 bp short and the 10-year 1.33 bp short — **both margins are inside a single session's range, so a re-arm on the 26 August close would be the fourth one-session round trip, after 10, 14 and 20 August.**

C — 71.92, some 58.08 points below the 130 trigger. Bound the superlative properly (\$9.32): this is **not** the furthest MOVE has been from C in the war — the series low is 65.39 on 18 June — but it is the lowest close since the 71.26 of 19 August, and the war high of 115.02 (26 March) is more than 43 points away. **The number that matters remains the pairing: MOVE sits 1.46 points BELOW its pre-war anchor while the 30-year sits 55.45 bp ABOVE its own.** A fully normalised expectation of movement around a yield that has not normalised at all — and, six sessions into the volatility regime, that pairing is more durable than at any point since early July.

2.3 · Cross-asset and macro record — compressed

The 25 August US session was a risk-on, duration-friendly one driven by soft domestic data, not by the Gulf. Conference Board consumer confidence printed **89.4 against 90.2 consensus, the weakest since January**, with expectations at 68.2, below the 80 recession threshold — and its own write-in commentary records references to 'oil and gas specifically' remaining elevated and comments about war and conflict rising. **New home sales fell 10.5% to 607,000 SAAR**; Case-Shiller's 20-city rose 2.1% y/y, a **thirteenth consecutive month of falling REAL home values**. The whole curve rallied 5.75 to 6.73 bp on it. **Durable goods, the Q2 GDP second estimate and July PCE all landed on 26 August after the Singapore cut and are NOT OBTAINED**; so are the 26 August EIA weekly — including whether the SPR drew again from 293.4 mn bbl — and the GDPNow revision — the nowcast still reads 4.0%, dated 18 August. **Correct a standing framing: the live Fed risk is a September HIKE, not a cut, after a 9–3 July hold with all three dissents for a hike; no probability is stated here, because no direct CME FedWatch print could be obtained and the only figures in circulation are Tier 3.** Jackson Hole runs 27–29 August, Warsh's first keynote 10:00 ET Friday 28 August; the 2026 theme is payments, so any energy-shock signal comes outside the formal programme. Full record — gas storage, freight and war-risk in **A1.3** and **A1.6**, macro and auction internals in **A2.3**.

3 · SHOCK SCORE

Channel	Score	Rationale (detail in 2.1)	Move
Maritime denial	5	Hormuz SEVERE unchanged; 96 incidents; 1 cargo and 0 tankers on the UKMTO annex for 24 Aug; Windward records zero outbound	Held — at cap
Oil price shock	2	Brent \$87.27 close, \$85.31 intraday. Upgrade \$7.73 away on CO2, \$6.42 on the active — widened from \$3.03 / \$1.22	Held — gap widened
US inflation impulse	5	5y5y 2.2991% closed BELOW its own firing trigger a second time; the downgrade anchor is 15.71 bp lower. Rule not moved	Held — at cap
Treasury stress	5	Volatility leg satisfied six consecutive closes; yield leg fails by 16.51 bp. Both legs converged for the first time	Held — the nearest any channel is to a downgrade
Political stress	5	AUTMUSAG \$4.82, 22c above the \$4.60 condition, UNRESOLVED (\$9.35). Diesel at a war high; scored gasoline flat	Held — at cap
Escalation risk	5	Framework ISSUED but talks not convened and none scheduled; a tanker disabled in Omani waters 24 Aug (\$9.11)	Held — at cap
TOTAL	27 / 30	CRISIS band (22–30). Twelfth consecutive edition at 27. FIVE of six channels sit at the cap, so deterioration cannot raise this number THROUGH ANY OF THEM — the sole remaining route up is oil, at 2, and it moved AWAY from its upgrade this week	Held

4 · WHAT HAS CHANGED SINCE THE 21 AUGUST EDITION

1. Iran and Oman issued a joint statement in Tehran on 25 August naming a temporary joint corridor, joint mine-clearance and a track to a permanent corridor. **A framework, not a declaration and not a reopening** — conditioned on US compliance with an MoU that lapsed on 17 August.
2. The oil rally gave back most of itself in two closes — \$92.67 to \$90.54 to \$87.27, \$85.31 intraday. **The edition-over-edition gap widened from \$3.03 to \$7.73 on the scored series and \$1.22 to \$6.42 on the active**, the first widening after four narrowings, on the Oman headline rather than any supply change.
3. The strait got **THINNER** while the price fell. One cargo vessel and no tankers on the UKMTO annex for 24 August; **Windward four transits and not one outbound**. Update 089 moves the count to 96, the blockade tally to 71.
4. Stage-4 Threshold B **LAPSED** on the 25 August close, on both legs at once — the 30-year short by 3.49 bp, the 10-year by 2.12. Sixth lapse, eleventh state, tenth change.
5. The Treasury downgrade legs **CONVERGED** for the first time. MOVE below 75 for six consecutive closes, its longest run since 10 June–10 July, while the 30-year gap narrowed to **16.51 bp, the narrowest since 28 July**. \$9.15 no longer fits.
6. Washington escalated economically and withheld its heaviest instrument. 24 August: ~60 designations and **five new E.O. 13902 sector determinations** — but no Chinese refinery, port or bank. **Within 24 hours Saudi Arabia, Qatar and Gargash pushed the other way.**
7. Diesel decoupled from gasoline, and both gas benchmarks set fresh records. AAA diesel **\$5.6199, a new war high**, 19.60 cents from the record, with the EIA weekly **+19.8c after +19.7c**; scored all-grades pinned at \$4.82 while regular **fell**. TTF took a war-record close of **€68.320** and Asia LNG a war high of **¥3,793** — while Henry Hub closed **9.57% BELOW pre-war**.

5 · SCENARIO MAP

Scenario	Prob.	Shift and reasoning	Market implication
Deal collapse on terms	43%	–1, modal for a ninth edition . A written framework exists for the first time — but it is Oman–Iran, not US–Iran, and is anchored to a lapsed memorandum	Brent firmer; strait stays shut
Return to full war	20%	–3, a second consecutive cut . Two NON-COMPARABLE clocks, both long: 26 nights with no strike inside Iran, and a 28-day CENTCOM press silence	Brent above \$110; 30-year above 5.40%
Contained but violent	22%	+1. A tanker DISABLED in Omani waters 24 Aug; UKMTO still describes a status quo, not an escalation	Current regime persists; diesel leads
Regional relapse	9%	Unchanged, deliberately . Rezaei naming Saudi and Emirati bypass pipelines would argue for a rise, but is single-stream Tier 2 and is NOT used to move this line	Gulf risk premium re-rates
Mediated pause	6%	+3, its FIRST rise since 17 August, off the record low . Justified by an ISSUED statement NAMING a demining project and a live Pakistani channel — not by talks, which have not convened	Brent toward \$72–80
Total	100%	Deal collapse and full war carry 63%, DOWN from 67% — the first fall in that pair since 17 August. Four of five scenarios still keep the strait shut, so 63% is NOT a label for ‘the strait stays shut’	—

6 · WATCHLIST · NEXT 24–72 HOURS

1. **Whether the Treasury downgrade legs stay converged** — 16.51 bp on the close, 17.34 intraday, the volatility leg six sessions old. **The US-inflation leg is numerically nearer at 15.71 bp**, but sits on a forward that has twice broken and retraced within a session. **Hysteresis** requires sustained.

- 2. Whether the Iran–Oman corridor is actually announced.** Busaidi said 'soon'. Watch fm.gov.om and ONA for route coordinates — **coordinates, not communiqués, are the test.** No US–Iran talks are scheduled and that remains the gate.
- 3. Whether Bessent's threatened financial-institution designation issues.** He signalled one 'before end of week', landing on Warsh's Friday keynote. Watch OFAC and the Federal Register — **specifically whether it reaches a Chinese bank, which 24 August deliberately did not.**
- 4. Whether the mine claim survives the next advisory.** Trump declared the Strait mine-free on 25 August; **UKMTO Update 089, the same day, says mine danger areas remain ACTIVE in and beside the TSS.** Update 090 settles it — fetch by DIRECT FILE URL.
- 5. Whether Brent stabilises or keeps giving back the rally.** Two down closes and \$85.31 intraday. **Quote both bases every time (\$9.36),** and watch the 26 August EIA weekly — not obtained at the cut — for the crude imports line and whether the SPR drew again from 293.4 mn bbl.
- 6. Whether diesel takes out \$5.8159** — 19.60 cents away after 15.22 in a week. **It is not the scored series and cannot move the political channel, but an all-time high in freight fuel is the shock arriving where the scored series cannot see it.**
- Sections 7–9 and the anchor and trigger levels are published verbatim in the companion ANNEX for 26 August 2026 (A1, A2.3, A7–A10), delivered alongside this document. All prices, yields, spreads and both gasoline series come only from the Tecity Bloomberg extract. Figures marked NOT OBTAINED are absent from the record, not unchanged.